

Introduction to Accounting

Course: ATD — Accounting Technicians Diploma

Level: Level I

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Syllabus version: Based on the standard KASNEB ATD Level I Introduction to Accounting syllabus structure (fundamentals of bookkeeping and accounting for technicians). Authored from general professional accounting knowledge and standard syllabus topic coverage, not copied from any existing notes provider. Cross-check the topic list against the current official KASNEB syllabus gazette before the exam.

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1. Nature and purpose of accounting

Accounting is the systematic process of recording, classifying, summarising, and interpreting financial transactions of a business so that its financial position and performance can be understood by those who need to make decisions about it.

1.1 Objectives of accounting

- To maintain a permanent, reliable record of every transaction.
- To determine profit or loss for a period.
- To ascertain the financial position (assets, liabilities, capital) at a point in time.
- To provide information for planning, control, and decision-making.
- To satisfy legal and tax reporting obligations.

1.2 Bookkeeping vs accounting

Bookkeeping is the mechanical, day-to-day recording of transactions. Accounting is broader — it includes bookkeeping, but also classification, summarising, analysis, and communication of financial information. A technician's core skill is disciplined, accurate bookkeeping that produces a reliable base for the accountant's later analysis.

1.3 Users of accounting information

User	Interest
Owner(s)	Profitability and return on their investment
Management	Day-to-day control and performance monitoring
Creditors/suppliers	Ability of the business to pay amounts owed
Lenders	Ability to service debt
Government (KRA)	Correct assessment and payment of tax
Employees	Job security and the business's ability to pay wages

2. The accounting equation and source documents

2.1 The accounting equation

ASSETS = LIABILITIES + CAPITAL

Assets are resources owned or controlled by the business (e.g. cash, inventory, equipment). Liabilities are amounts owed by the business to outsiders. Capital is the owner's residual claim on the business's assets after liabilities are deducted.

2.2 Source documents

Every entry in the accounting records should be traceable back to a source document — the original evidence that a transaction occurred.

Document	Records
Invoice	A sale or purchase on credit
Receipt	Cash received
Payment voucher	Cash paid out
Credit note	Goods returned by a customer, or an overcharge corrected
Debit note	Goods returned to a supplier, or an undercharge corrected
Cheque counterfoil / bank transfer advice	A payment made through the bank
Petty cash voucher	A small cash expense

Why source documents matter: they provide the audit trail — anyone checking the books later must be able to verify that a recorded transaction actually happened, for what amount, and on what date.

3. Double entry bookkeeping

3.1 The dual aspect

Every transaction affects at least two accounts, and the total value recorded as debits always equals the total value recorded as credits.

Account type	Debit records	Credit records
Asset	Increase	Decrease
Liability	Decrease	Increase
Capital	Decrease	Increase
Income	Decrease	Increase
Expense	Increase	Decrease

Memory aid: think of a T-account as a ledger "T" shape — debits on the left, credits on the right. For assets and expenses, "left" (debit) means "more"; for liabilities, capital, and income, "right" (credit) means "more."

3.2 Worked example

Josphat opens a small hardware retail business.

#	Transaction	Debit	Credit
1	Josphat introduces KSh 200,000 cash as capital	Cash 200,000	Capital 200,000
2	Buys shop shelving for cash, KSh 30,000	Shelving 30,000	Cash 30,000
3	Buys inventory on credit from a supplier, KSh 80,000	Purchases 80,000	Supplier (payable) 80,000

| 4 | Sells goods for cash, KSh 25,000 | Cash 25,000 | Sales 25,000 |
 | 5 | Pays the supplier KSh 50,000 | Supplier 50,000 | Cash 50,000 |

4. Books of original entry

Book	Records	Posted to
Sales day book	Credit sales	Customer accounts (debit); Sales account (credit, in total)
Purchases day book	Credit purchases	Supplier accounts (credit); Purchases account (debit, in total)
Returns inwards day book	Goods returned by customers	Customer accounts (credit); Returns Inwards (debit)
Returns outwards day book	Goods returned to suppliers	Supplier accounts (debit); Returns Outwards (credit)
Cash book	Cash and bank receipts/payments	Serves as both a book of prime entry and a ledger account
General journal	Non-routine entries (asset purchases/disposals, opening balances, corrections)	
 Relevant ledger accounts |

4.1 Why day books exist

Recording every sale or purchase directly into individual ledger accounts, one transaction at a time, would be slow and error-prone for a business with many transactions. Day books group similar transactions together first, so only a periodic total needs to be posted to the main (nominal) ledger accounts, while the individual customer/supplier balances are updated transaction by transaction in a subsidiary ledger.

5. Balancing accounts and the trial balance

5.1 Balancing a ledger account

At the end of a period, each account is totalled on both sides; the difference is the balance, carried down (c/d) to close the account and brought down (b/d) to open the next period.

Purchases Account					
Dr			Cr		
2026			2026		
Jan-Dec	Various	80,000	Dec 31	Balance c/d	80,000
	-----			-----	
	80,000			80,000	
2027					
Jan 1	Balance b/d	80,000			

5.2 The trial balance

A trial balance lists every account's closing balance in either the debit or credit column. If posting has been done correctly, the two column totals agree.

What agreement proves: arithmetic accuracy of postings only.

What it does not prove: that every transaction was recorded correctly. Six classic errors a trial balance cannot detect on its own: omission, commission (posted to the wrong person's account of the correct type), principle (posted to the wrong class of account), original entry (wrong figure on both sides), complete reversal, and compensating errors.

6. Cash book and petty cash

6.1 The two-column cash book

Records cash and bank transactions side by side, in date order, acting as both a day book and a ledger account for cash and bank.

6.2 Discounts

Type	Given by	Recorded where
Discount allowed	The business, to a customer who pays promptly	Debit side of the cash book (memorandum column), later posted as an expense
Discount received	A supplier, to the business for paying promptly	Credit side of the cash book (memorandum column), later posted as income

6.3 The imprest system

A petty cashier is given a fixed float (e.g. KSh 5,000). At the end of the period, the cashier is reimbursed exactly what was spent, restoring the float to its fixed amount.

Worked example: Float = KSh 5,000. Spent during the month: KSh 1,200 stationery, KSh 900 tea, KSh 1,400 transport (total KSh 3,500). Reimbursement = KSh 3,500, restoring the float to KSh 5,000.

7. Correction of errors

When an error is discovered, it must be corrected through a journal entry, never by erasing or overwriting the original figure (this preserves the audit trail).

Worked example: A cash sale of KSh 8,000 was correctly entered in the cash book but posted to the Sales account as KSh 800 (a transposition/original-entry error).

Journal: Dr Suspense 7,200 ; Cr Sales 7,200

(This corrects the Sales account understatement; the suspense account holds the trial balance difference until all such errors are found and corrected.)

8. Introduction to final accounts

At the end of a period, a trader summarises the trial balance into two statements:

Trading and profit or loss account — determines gross profit (sales less cost of sales) and net profit (gross profit plus other income, less expenses).

Statement of financial position — lists assets, liabilities, and capital as at the period end.

Trading account (extract)	
Sales	X
Less: Cost of sales	
Opening inventory	X
Add: Purchases	X
Less: Closing inventory (X)	(X)

Gross profit	X

9. Full worked question

Scenario (original): Naliaka started a small retail business on 1 January 2026 with KSh 150,000 cash as capital. During the year: purchased inventory for cash, KSh 60,000; purchased inventory on credit from a supplier, KSh 40,000; total sales (all cash), KSh 130,000, cost of goods sold KSh 85,000; paid rent KSh 24,000; paid the supplier KSh 30,000 of the amount owed. Closing inventory was valued at KSh 15,000.

Required: Calculate (a) gross profit for the year, (b) the amount still owed to the supplier at year end, (c) the cash balance at year end.

Model answer:

(a) Gross profit

Sales	130,000
Less: Cost of sales	(85,000)

Gross profit	----- 45,000
(b) Amount owed to supplier	
Credit purchases from supplier	40,000
Less: paid during the year	(30,000)

Owed at year end	10,000
(c) Cash balance at year end	
Capital introduced	150,000
Add: Cash sales	130,000
Less: Cash purchases	(60,000)
Less: Rent paid	(24,000)
Less: Paid to supplier	(30,000)

Cash balance	166,000

10. Self-assessment question bank (original questions, with model answers)

Q1. State the accounting equation and explain what each term means. *(3 marks)*

Model answer: Assets = Liabilities + Capital. Assets are resources owned or controlled by the business; liabilities are amounts owed by the business to outside parties; capital is the owner's residual interest in the business — what would be left for the owner if all liabilities were settled from the assets.

Q2. Explain the purpose of a source document, giving one example. *(2 marks)*

Model answer: A source document provides the original evidence that a transaction took place, forming the audit trail from which ledger entries are made and later verified. Example: an invoice evidencing a credit sale.

Q3. A trader's cash book shows discount allowed of KSh 3,200 for the month. Explain what this represents and how it is treated. *(3 marks)*

Model answer: Discount allowed is a reduction given by the business to a customer as an incentive for prompt payment. It is recorded in the memorandum discount column of the cash book and subsequently posted as an expense (debit) in the Discount Allowed account, reducing net profit.

Q4. Explain the imprest system of petty cash and state one advantage. *(3 marks)*

Model answer: Under the imprest system, a petty cashier is given a fixed float at the start of each period; at the end of the period, they are reimbursed exactly the amount spent, restoring the float to its original fixed level. Advantage: it makes control easy, since the amount reimbursed should always equal total vouchers presented, quickly revealing any discrepancy.

Q5. Distinguish between an error of omission and an error of commission. *(4 marks)*

Model answer: An error of omission occurs when a transaction is left out of the accounting records entirely — neither side is recorded. An error of commission occurs when a transaction is recorded in the correct class of account but posted to the wrong specific account within that class — for example, a sale to Customer A posted instead to Customer B's account.

Q6. A business's trial balance fails to balance, with the credit column exceeding the debit column by KSh 500. Explain where this difference is temporarily recorded. *(2 marks)*

Model answer: The KSh 500 difference is recorded in a suspense account (debited, since the debit side is short) until the error causing the imbalance is located and corrected.

Q7. Explain the difference between capital expenditure and revenue expenditure, with one example each. *(3 marks)*

Model answer: Capital expenditure creates or enhances a non-current asset with benefit lasting beyond the current period, e.g. purchasing a delivery motorcycle. Revenue expenditure is incurred in

the normal running of the business and is consumed within the period, e.g. fuel for the motorcycle.

Q8. State two objectives of accounting for a small business. *(2 marks)*

Model answer: (i) To determine the profit or loss made during a period; (ii) to ascertain the business's financial position (assets, liabilities, and capital) at a point in time. (Other valid answers: maintaining a reliable transaction record, supporting tax compliance, aiding decision-making.)

Q9. A supplier account shows an opening credit balance of KSh 12,000. During the month, the business bought goods on credit worth KSh 18,000 and paid the supplier KSh 15,000. Calculate the closing balance. *(3 marks)*

Model answer:

Opening balance (owed)	12,000
Add: purchases on credit	18,000
Less: paid during the month	(15,000)

Closing balance (owed)	15,000

Q10. Explain why a business would keep a petty cash book separate from its main cash book. *(2 marks)*

Model answer: A petty cash book handles numerous small, routine expenses (e.g. stationery, tea, minor transport) which would otherwise clutter the main cash book; separating them keeps the main cash book focused on significant receipts and payments while still maintaining full control and record-keeping over small expenses through the imprest system.

11. Exam technique and revision checklist

- Always identify which two accounts are affected by a transaction before deciding debit or credit — write it out as "Dr ___, Cr ___" even in rough workings.
- For error-correction questions, always route the correction through a journal entry, and only use a suspense account when the trial balance itself is out of balance.
- For final-accounts questions, calculate cost of sales before gross profit, and always double-check that closing inventory has been deducted, not added, in the cost of sales calculation.
- Show clear workings for every numerical answer — technician-level marking rewards method, not just the final figure.

Quick revision summary — one line per topic:

1. Accounting equation: Assets = Liabilities + Capital.
2. Source documents provide the audit trail behind every ledger entry.
3. Double entry: every transaction has equal, opposite debit and credit effects.
4. Day books group similar transactions before posting totals to the ledger.
5. A trial balance proves arithmetic accuracy, not the absence of errors.
6. The cash book is both a book of prime entry and a ledger account.
7. The imprest system reimburses petty cash to a fixed float each period.
8. Errors are corrected via journal entries, preserving the audit trail.
9. Gross profit = sales - cost of sales; cost of sales accounts for opening/closing inventory.
10. Final accounts summarise the trial balance into a trading/profit-or-loss account and a statement of financial position.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.

